



DEALER BEST PRACTICE SERIES

Ensuring MARC Profitability

Application Maintenance Site Management Component Rebuild Safety **MARC Management**

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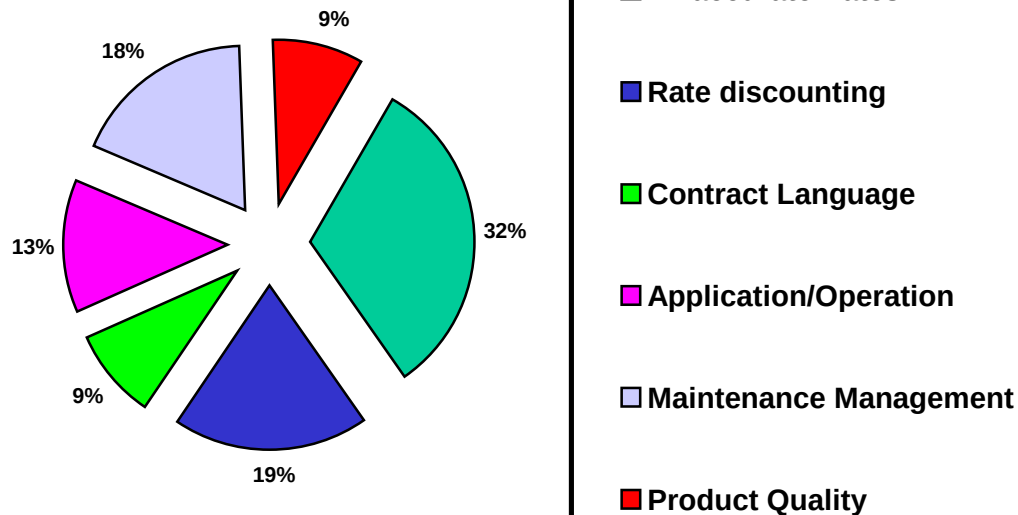
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1.0 Introduction

Maintenance and Repair Contracts (MARC) can provide a great service to customers and a worthwhile return for dealers, but only when developed and executed properly. Experience in Global Mining has shown contracts being unprofitable for the following reasons:



This Best Practice describes the macro-level components to ensuring a successful Maintenance & Repair Contract (MARC).

2.0 Best Practice Description

Key components to ensuring profitability for a MARC, encompass the following:

1. Accurate Rates
 - a. Make commercial decisions with a clear understanding of the cost base
2. Careful Rate Discounting
 - a. Account for all discounts when determining rates – customer demand for lower rates cannot outweigh the bottom line.
3. Contract Language
 - a. Use contract language that balances the interests of the customer and dealer.
4. Application / Operations
 - a. Understand the relationships of costs in regards to time and contract age

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5. Maintenance Management
 - a. Consider contract costs along with availability
 - b. Have the proper management tools in place
6. Product Quality
 - a. Understand that product improvements are not certain, and cannot be guaranteed to lower costs

Other contributing factors to ensuring success:

- Balance the interests of PINS with concern for profitability and risk
- Avoid start up & implementation deficiencies
- Consider the MARC as a value differentiator, versus a merchandizing tool
- Have realistic expectations of Caterpillar support resources, and plan appropriately

Effective management of the contract should also consider the following:

- Ensure a line of site to performance targets
- Use consistent MARC practices throughout the entire organization
- Combine accountability and authority
- Negotiate contracts with experienced individuals given full information and with Cat interest in mind
- Have tools (“ready-sell-bid-negotiate-execute-claim”) in place
- Ensure full understanding within Caterpillar and Dealer
- Bring all dealers to use consistent practices

3.0 Implementation Steps

It is strongly recommended that a MARC Management Plan be established. The Management Plan will address the following: (Please refer to the [0906-3.3-1029 - Developing a MARC Management Plan](#) Best Practice Publication.)

1. Organization Structure and Communication Plan:
 - a. Determine who & how to support MARC’s; and determine the communication strategy.
2. Financial Plan
 - a. Determine the key measures to track and report regarding the health and success of contracts.
3. Parts Plan
 - a. Used in determining what components will be needed to support contracts.
4. Information Systems
 - a. Set-up the Dealer Business System to support contracts

4.0 Benefits

- Fair, realistic expectations between Caterpillar, Dealer, and Customer
- Contracts that will benefit both the Dealer and Customer, and subsequently provide higher potential for profitability

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5.0 Resources Required

- MARC Management staff in-place
- Dealer Business System to support contract administration and management.
- Clear top-down directives in-place to empower MARC Management staff the capability of making sound decisions for a successful, profitable contract.

6.0 Supporting Attachments / References

No attachments or references associated with this document.

7.0 Related Best Practices

0906-3.3-1021 - Developing a MARC Management Plan

8.0 Acknowledgements

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